

their down payment, so they need to borrow \$300,000 to buy their home. On the other hand, Isabel and Zac only have \$28,000 saved for their down payment; therefore, they need to borrow \$372,000. Rachel and Skyler's larger down payment also helps lower their monthly payment amount. Not only are Isabel and Zac's monthly payments approximately \$500 higher, they also have to pay \$155 a month for PMI, because their down payment was less than 20%.

Isabel and Zac should wait to purchase a home. Although they have an impressive take-home salary, they are not quite ready. Before they can consider buying a home, they need to fully fund their emergency account. They also should take advantage of their current housing cost-to-income ratio. They are paying \$1,500 in rent, which is only 12.5% of their monthly salary. If they buy a home, they will need to pay at least an extra \$1,200 a month toward housing, which could be going toward their student debt. With the combination of low rent and high income, they should be able to knock out their debt in a reasonable time frame—and then begin saving aggressively for their down payment. This way, they can get a lower monthly payment, avoid paying PMI, reduce their interest rate, and reduce their stress. They will be homeowners eventually, but there is no need to rush the process.

Rachel and Skyler have a green light. They have saved up enough money to make a 25% down payment, have a high enough income so a 15-year mortgage is not a problem, have no debt, and have a fully funded emergency plan. Their years of frugal living and mindful saving will reward them with a very manageable mortgage payment.

Also, I want to recognize that both of these couples are doing well in terms of their salaries. If your salary is lower than this, do not feel bad, because these examples are above average. This example demonstrates that even people who are making a significant amount of money may not be ready to buy a home.